

Notes: Dyck & Zingales (JF, 2004)

Private Benefits of Control: An International Comparison

Contents

1	Big picture	2
2	Data and measurement	2
2.1	What private benefits of control are	2
2.2	Why block sales reveal private benefits	2
2.3	Sample construction	3
2.4	Country-level and deal-level controls	3
2.5	Financial development variables	3
2.6	Institutional variables	4
3	Models and empirical specifications	4
3.1	Bargaining model for the block price	4
3.2	Country fixed-effect estimation	4
3.3	Financial development tests	5
3.4	Institutional determinant regressions	5
3.5	Foreign-acquirer test	5
4	Identification and empirical design	5
4.1	What identifies private benefits	5
4.2	Main threats to measurement	6
4.3	Why the financial-development tests matter	6
4.4	Why extra-legal institutions matter	6
4.5	What the paper cannot fully prove	6
5	Table	7
5.1	Table II: block premium as percent of firm equity	7
5.2	Table III: estimated block premia by country	7
5.3	Table IV: does the control premium come from overpayment?	9
5.4	Table V: legal protection in the acquirer's country	10
5.5	Table VI: comparison with voting/nonvoting-share estimates	11
5.6	Table VII: effects of private benefits on financial market development	11
5.7	Table VIII: institutional variables	12
5.8	Tables IX and X: institutional determinants of private benefits	12
5.9	Table XI: legal origin	14
6	Short summary	15
7	Conclusion	16
7.1	Core conclusion	16
7.2	Economic intuition	16
7.3	Takeaway	16

1 Big picture

- **Question.** How large are private benefits of corporate control across countries, how can they be measured, and what institutions curb them?
- **Object being measured.** Private benefits of control are benefits enjoyed by the controlling shareholder but not shared pro rata with minority shareholders. Examples include related-party transfers, preferential contracting, diversion of opportunities, perquisites, and nonpecuniary control benefits.
- **Empirical strategy.** The paper uses private sales of controlling blocks in public firms. The difference between the block price and the post-announcement market price is interpreted as the control premium.
- **Sample.** The authors study 393 control-block transactions across 39 countries over 1990–2000.
- **Main magnitude.** Average private benefits of control are about 14% of firm equity value. Country averages range from about −4% in Japan to about 65% in Brazil.
- **Main financial-development result.** Countries with larger private benefits have less developed equity markets, more concentrated ownership, and more privatizations through private asset sales instead of public share offerings.
- **Main institutional result.** Both legal and extra-legal mechanisms matter. In multivariate tests, newspaper diffusion and tax compliance are the most robust institutional curbs.
- **Why the paper matters.** It provides a direct cross-country measure of expropriation rents and shows that those rents are central to corporate governance, ownership concentration, and stock-market development.

2 Data and measurement

2.1 What private benefits of control are

- The controlling shareholder may appropriate value that is difficult to verify in court.
- The benefit can be pecuniary, such as transfer pricing or asset tunneling.
- It can also be nonpecuniary, such as the psychic value of command or the convenience of controlling a family firm.
- Control can also carry costs: lack of diversification, reputation losses, and potential legal liability.

Interpretation: The paper deliberately avoids welfare claims. Some private benefits may be inefficient diversion, while others may be a way to capture otherwise noncontractible value. The empirical task is to measure their size.

2.2 Why block sales reveal private benefits

A buyer of a controlling block receives two things:

- cash-flow rights attached to the block;
- control rights that allow access to private benefits.

A minority share price after the transaction reflects only the expected security benefits under the new controller. Therefore, the excess block price reveals the value of control.

The raw block premium is measured as

$$\text{Block Premium} = \left(\frac{P^{\text{block}} - P_{t+2}^{\text{market}}}{P_{t+2}^{\text{market}}} \right) \times \alpha, \quad (1)$$

where P^{block} is the price per share paid for the controlling block, P_{t+2}^{market} is the exchange price two days after announcement, and α is the cash-flow stake in the block.

Interpretation: Multiplying by α converts the per-share price premium into a value of control as a fraction of total firm equity value.

2.3 Sample construction

- Transactions come from the SDC international mergers and acquisitions database.
- A deal must involve a completed block purchase of at least 10% of shares.
- The acquirer must move from less than 20% ownership to more than 20% ownership.
- Open-market purchases, tender offers, spinoffs, recapitalizations, exchange offers, self-tenders, repurchases, and acquisitions of remaining interest are excluded.
- The authors remove related-party transfers and transactions where control is not truly transferred.
- Datastream is used to obtain post-announcement market prices.
- Transactions are excluded when mandatory offer rules mechanically link the control price to the market price.
- Transactions followed by tender offers within six months are excluded to avoid market-price distortions.

Interpretation: The sample is designed to isolate privately negotiated control transfers in which the block price and market price can differ freely.

2.4 Country-level and deal-level controls

The paper controls for characteristics that could affect the premium independently of country institutions:

- whether the block exceeds 50%;
- whether another large shareholder remains;
- whether the seller is financially distressed;
- whether the block is created through a new share issue;
- whether the buyer is foreign;
- whether the firm is cross-listed in the United States;
- buyer and seller identities;
- two-digit SIC industry;
- asset tangibility.

Interpretation: These controls address deal heterogeneity, bargaining-power differences, and sectoral differences in the ability to extract private benefits.

2.5 Financial development variables

The paper links private benefits to several country-level outcomes:

- ownership concentration;

- percentage of privatizations done as asset sales rather than public offerings;
- IPOs per population;
- listed firms per population;
- external equity-market capitalization relative to GNP.

Interpretation: The theoretical prediction is that higher private benefits discourage dispersed ownership and public equity-market development.

2.6 Institutional variables

The paper studies both legal and extra-legal institutions.

- **Legal institutions:** accounting standards, antidirector rights, rule of law, takeover laws, and legal origin.
- **Extra-legal institutions:** product-market competition, newspaper circulation, violent crime, labor protection, tax compliance, cheating-on-taxes attitudes, and primary religion.

Interpretation: The paper’s major innovation is not only to test formal legal investor protection, but also to ask whether reputational pressure and tax enforcement restrain insiders.

3 Models and empirical specifications

3.1 Bargaining model for the block price

Let $\lambda \in [0, 1]$ be the bargaining power of the seller, B_s and B_b the private benefits extracted by seller and buyer, Y_s and Y_b the security benefits generated by seller and buyer, and α the cash-flow rights in the block. The price paid for the block is

$$P = \lambda(B_b + \alpha Y_b) + (1 - \lambda)(B_s + \alpha Y_s). \quad (2)$$

The per-share block price is therefore

$$\frac{P}{\alpha} = \frac{\lambda B_b + (1 - \lambda)B_s}{\alpha} + \lambda Y_b + (1 - \lambda)Y_s. \quad (3)$$

Subtracting the market price after announcement, Y_b , gives

$$\frac{\lambda B_b + (1 - \lambda)B_s}{\alpha} - (1 - \lambda)(Y_b - Y_s). \quad (4)$$

Multiplying by α , the estimated private benefits are

$$\hat{B} = \lambda B_b + (1 - \lambda)B_s - \alpha(1 - \lambda)(Y_b - Y_s). \quad (5)$$

Interpretation: If the market for control is perfectly competitive, $\lambda = 1$, and the estimate equals the buyer’s private benefits. If bargaining is imperfect and the buyer changes security value, the estimate can be biased by $\alpha(1 - \lambda)(Y_b - Y_s)$.

3.2 Country fixed-effect estimation

The paper estimates country-level private benefits using regressions of the form

$$\hat{B}_{i,c} = \delta_c + \theta \alpha_i (Y_{b,i} - Y_{s,i}) + \Gamma' X_i + \varepsilon_i, \quad (6)$$

where δ_c is a country fixed effect and X_i includes deal, ownership, buyer, seller, industry, and asset controls.

Interpretation: The country fixed effects are the paper’s main country-level estimates of private benefits after adjusting for observable transaction differences.

3.3 Financial development tests

The paper tests whether country-level outcomes are related to estimated private benefits:

$$Outcome_c = a + b PrivateBenefits_c + \eta \log(GDP \text{ per capita})_c + u_c. \quad (7)$$

Interpretation: A negative b for market capitalization, IPOs, and listed firms means private benefits are associated with weaker public equity markets. A positive b for ownership concentration means insiders retain control when control is valuable.

3.4 Institutional determinant regressions

To test which institutions curb private benefits, the paper estimates

$$\hat{B}_i = a + \delta Institution_c + \Gamma' X_i + \varepsilon_i. \quad (8)$$

Multivariate versions include several institutions at once:

$$\hat{B}_i = a + \delta_1 Legal_c + \delta_2 ExtraLegal_c + \Gamma' X_i + \varepsilon_i. \quad (9)$$

Interpretation: A negative institutional coefficient means the institution is associated with lower private benefits of control.

3.5 Foreign-acquirer test

The paper asks whether acquirers from stronger investor-protection countries pay less for control:

$$\hat{B}_i = a + \beta Foreign_i + \theta(Foreign_i \times \Delta AntiDirector_i) + \Gamma' X_i + \varepsilon_i. \quad (10)$$

Interpretation: If strong legal rules bind the acquirer, then $\theta < 0$: buyers from stronger investor-protection environments are less able or less willing to pay for private benefits.

4 Identification and empirical design

4.1 What identifies private benefits

- The key identification comes from comparing the negotiated block price with the market price after the control transfer is announced.
- The post-announcement market price is interpreted as the value of ordinary cash-flow rights under the new controller.
- The remaining block premium is attributed to the value of control rights.

Interpretation: The estimate is not a direct observation of tunneling. It is a market-based estimate of how much a buyer is willing to pay for control beyond ordinary cash-flow rights.

4.2 Main threats to measurement

- **Bargaining power:** the block price may not equal the buyer's willingness to pay.
- **Security-value changes:** the buyer may improve or reduce cash-flow value.
- **Overpayment:** acquirers may overpay because of hubris or superior information.
- **Deal selection:** observed block sales may not be random.
- **Nonpecuniary benefits:** psychic benefits may be underrepresented because they are idiosyncratic to incumbents.
- **Legal thresholds:** mandatory tender-offer rules may compress price differences.

Interpretation: The paper addresses these concerns with bargaining adjustments, acquirer-return tests, control variables, exclusion rules, and comparisons to voting-premia estimates.

4.3 Why the financial-development tests matter

- Theory predicts that when control is valuable, entrepreneurs retain control rather than disperse ownership.
- Governments privatizing firms may sell control privately rather than use public offerings if private benefits are high.
- Public stock markets should be smaller where outside investors expect more expropriation.

Interpretation: The paper's financial-development tests provide direct evidence for a central prediction of investor-protection theory.

4.4 Why extra-legal institutions matter

- Courts are not the only mechanism that can discipline controllers.
- Press coverage can impose reputational costs.
- Tax enforcement can restrict transfer pricing and other diversion channels.
- Competition may reduce rents available for insiders to extract.

Interpretation: The institutional section broadens the corporate-governance lens from formal shareholder rights to enforcement, reputation, and public-sector monitoring.

4.5 What the paper cannot fully prove

- The study is observational; legal and extra-legal institutions are not randomly assigned.
- Country-level variables are highly correlated and measured with error.
- The method captures common-value benefits that are reflected in block trades, not all idiosyncratic private benefits.
- The paper does not separate psychic value, perquisites, and dilution/tunneling cleanly.
- The sample is limited to observable control-block sales with reported prices and valid exchange-price data.

Interpretation: The results are strongest as a disciplined cross-country measurement exercise and as evidence that private benefits are economically important. They are less definitive about the exact welfare source of those benefits.

5 Table

5.1 Table II: block premium as percent of firm equity

Read:

- The sample contains 393 control-block transactions across 39 countries.
- The average country-level block premium is 14% of firm equity; the average median is 11%.
- High-premium countries include Brazil at 65%, the Czech Republic at 58%, Austria at 38%, Italy and Turkey at 37%, Mexico at 34%, and Argentina, Colombia, Israel, and Venezuela at 27%.
- Low-premium countries include Japan at -4%, Hong Kong and Taiwan around 0%, and Canada, Norway, the United Kingdom, and the United States around 1%.

Economic message: The cross-country dispersion is large. Control is almost valueless in some countries and extremely valuable in others, which motivates the institutional analysis.

5.2 Table III: estimated block premia by country

Read:

- A majority block raises the premium by about 9.5 percentage points.
- Financial distress in the selling firm lowers the premium in some specifications.
- Foreign buyers pay higher premia, consistent with more competition for control-block sales.
- U.S. cross-listing is associated with a lower premium in the richest specification.
- The country fixed effects remain broadly similar after deal, industry, buyer, seller, and asset controls.

Economic message: The measured country differences do not disappear once the paper controls for transaction characteristics. The institutional environment appears to matter.

Argentina	0.268**	(0.111)	0.268**	(0.112)	0.158	(0.131)	0.197	(0.123)
Australia	0.020	(0.013)	0.029	(0.018)	-0.001	(0.034)	0.051	(0.052)
Austria	0.383***	(0.099)	0.364***	(0.082)	0.318***	(0.054)	0.309***	(0.050)
Brazil	0.650***	(0.252)	0.653***	(0.249)	0.606***	(0.229)	0.652***	(0.245)
Canada	0.013	(0.017)	0.016*	(0.009)	-0.06	(0.056)	-0.055	(0.075)
Chile	0.183***	(0.069)	0.213***	(0.070)	0.149**	(0.065)	0.165**	(0.067)
Colombia	0.273*	(0.142)	0.274**	(0.129)	0.197	(0.137)	0.242*	(0.132)
Czech Republic	0.578*	(0.312)	0.600*	(0.320)	0.462	(0.297)	0.555*	(0.325)
Denmark	0.077	(0.048)	0.076*	(0.045)	0.039	(0.050)	0.036	(0.070)
Egypt	0.038	(0.024)	0.035**	(0.015)	-0.050	(0.061)	0.025	(0.082)
Finland	0.025	(0.016)	0.028	(0.018)	-0.016	(0.027)	-0.010	(0.036)
France	0.019	(0.052)	0.035	(0.049)	0.040	(0.059)	0.080	(0.077)
Germany	0.095***	(0.034)	0.090***	(0.033)	-0.020	(0.052)	0.016	(0.059)
Hong Kong	0.003	(0.019)	0.026	(0.021)	0.045	(0.033)	0.040	(0.044)
Indonesia	0.072***	(0.017)	0.032	(0.025)	-0.034	(0.040)	0.043	(0.047)
Israel	0.270**	(0.107)	0.284**	(0.113)	0.238**	(0.108)	0.259**	(0.114)
Italy	0.369*	(0.199)	0.378*	(0.201)	0.323*	(0.191)	0.311	(0.192)
Japan	-0.043**	(0.021)	-0.041**	(0.020)	-0.070	(0.044)	-0.038	(0.054)
Malaysia	0.072***	(0.017)	0.072***	(0.014)	0.063***	(0.018)	0.093***	(0.032)
Mexico	0.345**	(0.146)	0.381**	(0.150)	0.296**	(0.143)	0.322**	(0.144)
Netherlands	0.016	(0.020)	-0.031	(0.047)	-0.054	(0.068)	-0.015	(0.060)
New Zealand	0.027	(0.024)	0.044	(0.027)	-0.028	(0.042)	0.026	(0.046)

Table II
Block Premium as Percent of Firm Equity

This table presents descriptive statistics by country on the block premia in the 393 control block transactions we study. The block premia are computed as the difference between the price per share paid for the control block and the price on the Exchange two days after the announcement of the control transaction, divided by the price on the Exchange after the announcement and multiplied by the proportion of cash flow rights represented in the controlling block. Securities Data Corporation, Datastream International, 20-Fs, Company annual reports, Lexis-Nexis, Dow-Jones interactive, various country sources including ISI Emerging markets and country company yearbooks.

Country	Mean	Median	Standard Deviation	Minimum	Maximum	Number of Observations	Number of Positive Observations
Argentina	0.27	0.12	0.26	0.05	0.66	5	5
Australia	0.02	0.01	0.04	-0.03	0.11	12	8
Austria	0.38	0.38	0.19	0.25	0.52	2	2
Brazil	0.65	0.49	0.83	0.06	2.99	11	11
Canada	0.01	0.01	0.04	-0.02	0.06	4	2
Chile	0.18	0.15	0.19	-0.08	0.51	7	6
Colombia	0.27	0.15	0.34	0.06	0.87	5	5
Czech Republic	0.58	0.35	0.80	0.01	2.17	6	6
Denmark	0.08	0.04	0.11	-0.01	0.26	5	3
Egypt	0.04	0.04	0.05	0.01	0.07	2	2
Finland	0.02	0.01	0.06	-0.07	0.13	14	9
France	0.02	0.01	0.11	-0.10	0.17	4	2
Germany	0.10	0.11	0.14	-0.24	0.32	17	14
Hong Kong	0.00	0.02	0.05	-0.12	0.05	8	6
Indonesia	0.07	0.07	0.03	0.05	0.09	2	2
Israel	0.27	0.21	0.32	-0.01	0.89	9	8
Italy	0.37	0.16	0.57	-0.09	1.64	8	7
Japan	-0.04	-0.01	0.09	-0.34	0.09	21	5
Malaysia	0.07	0.05	0.10	-0.08	0.39	40	30
Mexico	0.34	0.47	0.35	-0.04	0.77	5	4
Netherlands	0.02	0.03	0.05	-0.07	0.06	5	4
New Zealand	0.03	0.04	0.09	-0.17	0.18	16	12
Norway	0.01	0.01	0.05	-0.05	0.13	12	8
Peru	0.14	0.17	0.11	0.03	0.23	3	3
Philippines	0.13	0.08	0.32	-0.40	0.82	15	11
Poland	0.13	0.12	0.11	0.02	0.28	4	4
Portugal	0.20	0.20	0.14	0.11	0.30	2	2
Singapore	0.03	0.03	0.03	-0.01	0.06	4	3
South Africa	0.02	0.00	0.03	0.00	0.07	4	2
South Korea	0.16	0.17	0.07	0.04	0.22	6	6
Spain	0.04	0.02	0.06	-0.03	0.13	5	4
Sweden	0.07	0.03	0.09	-0.01	0.22	11	10
Switzerland	0.06	0.07	0.04	0.01	0.15	8	8
Taiwan	0.00	0.00	0.01	-0.01	0.00	3	2
Thailand	0.12	0.07	0.19	-0.08	0.64	12	11
Turkey	0.37	0.11	0.58	0.05	1.41	5	5
United Kingdom	0.01	0.00	0.04	-0.06	0.17	41	21
United States	0.01	0.02	0.09	-0.20	0.25	46	27
Venezuela	0.27	0.28	0.21	0.04	0.47	4	4
Average/Number	0.14	0.11	0.18	-0.04	0.48	393	284

Table III
Estimated Block Premia by Country

The dependent variable is the block premia as a percent of firm equity. Each regression includes country fixed effects. In addition, in column (2) we introduce the buyer's proportion of the difference in security value between the buyer and seller. In column (3) we introduce several deal characteristics: whether it is a majority block, whether there is another large shareholder, whether the firm is in financial distress, whether the block was created by issuing new shares, whether the buyer is foreign, and if the firm's shares are cross listed in the United States. In column (4) we introduce several industry and seller/buyer characteristics: identity of the buyer (individual, government, subsidiary, dispersed), identity of the seller (individual, government, unknown), two-SIC code industry dummies, and the proportion of fixed to total assets. Definitions for each of the variables can be found in Table I. All regressions are estimated by OLS. Robust standard errors are in parentheses.

Independent Variables	Dependent Variable: Block Premium			
	(1)	(2)	(3)	(4)
Buyer's proportion of change in security value	-0.345	(0.214)	-0.323	(0.211)
Stake greater than 50%			0.005**	(0.039)
Another large shareholder			0.041	(0.043)
Financial distress in selling firm			-0.054*	(0.028)
Sold through new share issue			0.041	(0.057)
Buyer is foreign			0.069**	(0.034)
Cross-listed in the US			-0.062	(0.040)
Buyer individual or private				-0.042
Buyer government				0.008
Buyer subsidiary				-0.001
Buyer dispersed or unknown				-0.039
Seller individual				0.021
Seller government				0.008
Seller unknown				0.028
Fixed assets as percent of total				-0.097
Industry—Agriculture, Forestry, Fishing				-0.03
Industry—Mining				-0.071
Industry—Construction				-0.027
Industry—Transportation & utilities				0.066*
Industry—Wholesale Trade				0.046
Industry—Retail Trade				-0.057
Industry—Finance, Insurance, Real Est.				0.055
Industry—Services				-0.024

Table III—Continued

Country Fixed Effects	Dependent Variable: Block Premium							
	(1)		(2)		(3)		(4)	
Norway	0.015	(0.014)	0.019	(0.019)	0.007	(0.026)	0.052	(0.041)
Peru	0.142***	(0.053)	0.121	(0.075)	0.067	(0.080)	0.060	(0.082)
Phillipines	0.129	(0.083)	0.169**	(0.085)	0.115	(0.081)	0.142*	(0.079)
Poland	0.133***	(0.052)	0.134***	(0.041)	0.003	(0.081)	0.041	(0.092)
Portugal	0.203***	(0.073)	0.215***	(0.075)	0.159***	(0.052)	0.197***	(0.059)
Singapore	0.030*	(0.016)	0.027	(0.019)	0.024	(0.035)	0.042	(0.069)
South Africa	0.017	(0.015)	0.035*	(0.019)	−0.045	(0.061)	0.005	(0.072)
South Korea	0.157***	(0.027)	0.146***	(0.036)	0.086	(0.066)	0.088	(0.086)
Spain	0.041	(0.027)	0.049*	(0.026)	0.021	(0.042)	0.047	(0.058)
Sweden	0.074***	(0.027)	0.083***	(0.029)	0.033	(0.047)	0.041	(0.057)
Switzerland	0.063***	(0.015)	0.061***	(0.016)	−0.073	(0.056)	−0.067	(0.074)
Taiwan	−0.004	(0.004)	−0.011**	(0.005)	−0.047	(0.039)	−0.040	(0.074)
Thailand	0.125**	(0.054)	0.142**	(0.057)	0.073	(0.080)	0.121	(0.084)
Turkey	0.371	(0.246)	0.362	(0.226)	0.276	(0.232)	0.346	(0.249)
United Kingdom	0.014*	(0.007)	0.016*	(0.009)	0.000	(0.019)	0.040	(0.033)
United States	0.01	(0.013)	0.027	(0.016)	0.002	(0.031)	0.044	(0.038)
Venezuela	0.270***	(0.094)	0.305***	(0.103)	0.256**	(0.105)	0.221**	(0.112)
Number of observations	393		393		393		393	
R-squared	0.389		0.399		0.431		0.459	

*significant at 10% level; **significant at 5% level; ***significant at 1% level.

5.3 Table IV: does the control premium come from overpayment?

Read:

- The average acquirer cumulative abnormal return around block acquisitions is close to zero.
- Regressions of acquirer CARs on block premia do not show a significant relation.
- This weakens the interpretation that high control premia are simply acquirer overpayment or hubris.

Economic message: If buyers systematically overpaid in weak-governance countries, the paper's private-benefit estimates would be contaminated. Table IV suggests this is not the main driver.

Table IV
Does the Control Premium Come from Overpayment?

Panel A reports the summary statistics of the cumulative abnormal returns (CAR) of the stock price of the acquiring company around the date the acquisition of the controlling block is announced. We use a window from eight days prior to the announcement to seven days after the announcement. We have 203 transactions involving publicly traded acquirers, of which 115 have stock prices reported in Datastream. Panel B reports the OLS estimates of two regressions, where the dependent variable is the acquirer' CAR from $t - 8$ and $t + 7$ and the independent variables are: (1) the raw block premia (Table III column 1); (2) the raw block premia (Table III column 1) interacted with a measure of how much stock prices move together at the country level (see Morck et al. (2000)). Definitions for each of the variables can be found in Table I. Robust standard errors are in parentheses.

Panel A: Cumulative Abnormal Returns of the Acquirer			
	from $t - 8$ to $t + 7$		
Mean	0.005		
Median	0.000		
Maximum	0.333		
Minimum	−0.408		
Standard deviation	0.110		
Number of observations	115		
Panel B: Systematic Differences in Cumulative Abnormal Returns			
Independent Variables	Dependent Variable: Cumulative Abnormal Return of Acquirer (from $t - 8$ to $t + 7$)		
	(1)	(2)	
Block premia	−0.018 (0.040)	−0.106	(0.156)
Block premia $\times$ synchronicity in target nation		0.419	(0.835)
Constant	0.007 (0.011)	0.007	(0.012)
Number of observations	115	105	
R-squared	0.001	0.008	

5.4 Table V: legal protection in the acquirer's country

Read:

- The foreign-acquirer dummy is positive.
- The interaction between foreign acquirer status and stronger home-country antidirector rights is negative and statistically significant.
- The interaction between U.S. cross-listing and stronger U.S. investor protection is also negative.

Economic message: Buyers constrained by stronger investor-protection rules pay less for control. This supports the interpretation that block premia reflect extractable private benefits rather than only control synergies.

Table V
Does Legal Protection in the Investor's Country of Origin Affect the Acquirer's Willingness to Pay for Control?

The dependent variable is the block premia as a percent of firm equity. The explanatory variables include all of the variables introduced in Table II column (4). In column 1, we include the interaction between the foreign acquirer's dummy (equal to one if the acquirer comes from a country different from the target) and a measure of the difference in legal protection between the two countries. This measure is the difference between the La Porta et al. (1998) measure of antidirector rights for the country of the acquiring company and the one for the country of the acquired company. In column 2, we include the interaction between the dummy for cross listing in the U.S. and a measure of the difference in investor protection between the U.S. and the country where the target firm is located. Robust standard errors are in parentheses.

Independent Variables	Dependent Variable: Block Premium	
	(1)	(2)
Foreign acquirer dummy	0.063* (0.035)	0.060* (0.036)
Cross listed in the US	-0.060 (0.039)	0.113 (0.083)
Interaction of relative strength of antidirector rights (home—target nation) and foreign acquirer	-0.027** (0.011)	-0.028** (0.011)
Interaction of relative strength of antidirector rights (home—target nation) and cross listed in the US		-0.070** (0.034)
Variables Controlled for:		
Buyer's proportion of change in security value	y	y
Ownership variables	y	y
Financial distress	y	y
Buyer identity	y	y
Seller identity	y	y
Industry group	y	y
Tangibility of assets	y	y
Country fixed effects		
Argentina	0.183 (0.114)	0.183 (0.113)
Australia	0.054 (0.051)	0.052 (0.051)
Austria	0.309*** (0.048)	0.319*** (0.051)
Brazil	0.655*** (0.245)	0.653*** (0.245)
Canada	-0.059 (0.083)	-0.052 (0.083)
Chile	0.160** (0.065)	0.16** (0.065)
Colombia	0.282** (0.131)	0.325** (0.128)
Czech Republic	0.563* (0.328)	0.563* (0.330)
Denmark	0.028 (0.065)	0.027 (0.065)
Egypt	0.077 (0.085)	0.112 (0.093)
Finland	-0.002 (0.037)	0.002 (0.037)
France	0.076 (0.077)	0.084 (0.078)
Germany	0.038 (0.058)	0.041 (0.058)
Hong Kong	0.039 (0.043)	0.008 (0.048)
Indonesia	0.042 (0.046)	0.043 (0.045)
Israel	0.254** (0.116)	0.252** (0.116)
Italy	0.323* (0.193)	0.349* (0.199)
Japan	-0.032 (0.052)	-0.039 (0.051)
Malaysia	0.090*** (0.033)	0.089*** (0.033)

Figure 1: Table V, first page

Private Benefits of Control

565

Table V—Continued

Independent Variables	Dependent Variable: Block Premium	
	(1)	(2)
Mexico	0.348*** (0.129)	0.396*** (0.133)
Netherlands	-0.025 (0.062)	-0.015 (0.062)
New Zealand	0.027 (0.046)	0.028 (0.045)
Norway	0.06 (0.042)	0.061 (0.043)
Peru	0.076 (0.075)	0.08 (0.075)
Philippines	0.147* (0.079)	0.148* (0.080)
Poland	0.045 (0.092)	0.039 (0.092)
Portugal	0.204*** (0.060)	0.207*** (0.059)
Singapore	0.046 (0.064)	0.038 (0.062)
South Africa	-0.014 (0.075)	-0.014 (0.074)
South Korea	0.128 (0.080)	0.137* (0.081)
Spain	0.058 (0.053)	0.058 (0.052)
Sweden	0.044 (0.057)	0.047 (0.056)
Switzerland	-0.054 (0.073)	-0.051 (0.073)
Taiwan	-0.038 (0.074)	-0.038 (0.073)
Thailand	0.111 (0.080)	0.107 (0.080)
Turkey	0.364 (0.246)	0.363 (0.246)
United Kingdom	0.029 (0.034)	0.02 (0.033)
United States	0.037 (0.038)	0.035 (0.038)
Venezuela	0.234** (0.107)	0.268** (0.119)
Number of observations	393	393
R-squared	0.466	0.470

Figure 2: Table V, continued

5.5 Table VI: comparison with voting/nonvoting-share estimates

Read:

- The paper compares its control-block estimates with Nenova's voting-premia estimates.
- The broad cross-country pattern is similar, supporting the idea that private benefits can be consistently measured across methods.
- Differences are partly related to the availability and selection of dual-class firms.

Economic message: The control-block method and voting-premia method are different measurement strategies. Their broad consistency strengthens the credibility of the phenomenon.

5.6 Table VII: effects of private benefits on financial market development

Read:

- Higher private benefits are associated with more concentrated ownership.
- They are associated with more privatizations through asset sales rather than share offerings.
- They are associated with lower IPO activity, fewer listed firms, and lower external equity-market capitalization relative to GNP.

Table VI
Comparing Control Premia Measures

Panel A reports Nenova's (2001a) estimates of the value of control based on the price difference between classes of shares with differential voting rights and ours, based on control block transactions. The first column reports Nenova's raw voting premium, defined as total vote value (value of a vote times number of votes) as a share of firm's market value. The second column reproduces our raw block premium (Table III column 1). The third column reports Nenova's fixed effect estimates of the value of control, where she controls for differences in the dividend rights between the two classes of stock, differences in liquidity, and the presence of a conversion option (Nenova, Table VI, Col. 4). The fourth column reports our fixed effect estimates of the value of control (Table V). The fifth column reports the percentage of firms in Datastream sample that have multiple share classes with available price data, where the number of firms with multiple share classes is taken from Nenova and the number of firms with equity prices in Datastream for 1997 is reported in Appendix Table AII. Panel B reports OLS regressions of the difference between Nenova's control premia and ours. In column 1 there is the difference between the raw estimates, in column 2 the difference between the fixed effect estimates. The explanatory variable is the percentage of firms that have dual-class shares and price data available in each country (column 5 of Panel A). Robust standard errors are in parentheses.

Panel A: Data Comparisons					
Country	Raw Data		Estimated Country Fixed Effects		Percentage of Equities with Dual-Class Shares and Available Price Data
	Premia Using Voting/Nonvoting Shares (Nenova, Table V (2000))	Block Premia (Table III, Col 1)	Premia Using Voting/Nonvoting Shares (Nenova, Table V, Col. 4 (2000))	Block Premia (Table V, Col 2)	
Australia	0.232	0.020	0.185	0.052	0.01
Brazil	0.232	0.050	0.180	0.063	0.59
Canada	0.028	0.013	0.035	-0.052	0.04
Switzerland	0.054	0.063	0.054	-0.051	0.19
Chile	0.231	0.183	0.231	0.16	0.07
Germany	0.095	0.095	0.148	0.041	0.14
Denmark	0.008	0.077	0.009	0.027	0.20
Finland	-0.050	0.025	0.058	0.002	0.34
France	0.281	0.019	0.282	0.084	0.02
United Kingdom	0.096	0.014	0.090	0.02	0.02

- The introduction states the economic magnitudes clearly: a one-standard-deviation increase in private benefits is associated with a 67% fall in external market capitalization/GNP, an 11% fall in equity held by noncontrolling shareholders, and a 36% rise in private negotiated privatizations.

Economic message: When control rents are large, insiders and governments have stronger incentives to keep control concentrated. Public stock markets become less attractive to minority investors.

Table VII
Testing the Theoretical Predictions on the Effects of Private Benefits on Financial Market Development

In specification 1 of Panel A the dependent variable is the average concentration of ownership as measured by the combined stakes of the three largest shareholders in the 10 largest nonfinancial, nonforeign corporations where the state is not a shareholder (see La Porta et al. (1997)). In specification 2 the dependent variable is the percentage of privatization transactions that took the form of an asset sale rather than a share offering (Megginson et al. (2000)). In Panel B the dependent variables are: (1) the number of initial public equity offerings in 1995 to 1996; (2) the number of listed domestic firms; (3) the ratio of the stock market capitalization held by minority investors to GNP (all from La Porta et al. (1997)). The explanatory variables are the average log GDP per capita 1970 to 1995 (World Bank) and our fixed effect estimates of the country average level of value of control from Table V. More complete variable descriptions and sources are provided in Table I. The instruments are the families of origin of a country's legal system (English, French, German, Scandinavian, and Soviet). Robust standard errors are in parentheses.

Panel A: Dependent Variables: Ownership Structure					
Independent Variables	Dependent Variables				
	(1)		(2)		
	Ownership Concentration (3 largest)		Percentage of Privatizations as Asset Sales (not share offerings)		
	OLS	Instrumental Variables	OLS	Instrumental Variables	
Country control premia	0.365** (0.124)	0.591** (0.261)	0.999*** (0.240)	2.005** (0.797)	
Log per capita income	-0.047*** (0.015)	-0.033 (0.021)	-0.024 (0.057)	0.022 (0.061)	
Constant	0.807*** (0.127)	0.659*** (0.207)	0.554 (0.505)	0.037 (0.383)	
Number of obs.	36	36	36	36	
R-squared	0.445		0.276		

Table VI—Continued

Panel A: Data Comparisons					
Country	Raw Data		Estimated Country Fixed Effects		Percentage of Equities with Dual-Class Shares and Available Price Data
	Premia Using Voting/Nonvoting Shares (Nenova, Table V (2000))	Block Premia (Table III, Col 1)	Premia Using Voting/Nonvoting Shares (Nenova, Table V, Col. 4 (2000))	Block Premia (Table V, Col 2)	
Hong Kong	-0.029	0.003	-0.029	0.008	0.01
Italy	0.294	0.369	0.345	0.349	0.31
South Korea	0.289	0.157	0.338	0.157	0.11
Mexico	0.364	0.345	0.460	0.396	0.06
Norway	0.058	0.015	0.058	0.061	0.11
Sweden	0.010	0.074	0.010	0.047	0.19
United States	0.020	0.010	0.016	0.035	0.08
South Africa	0.067	0.017	0.063	-0.014	0.07

Panel B: Can Differences between Benefits-Estimates Be Explained by Potential Selection Bias in Voting Rights Approach?

	Dependent Variable	
	Nenova Measure – Our Measure	Refined Nenova Measure – Our Refined Measure
Percentage of dual-class firms in country	-0.873*** (0.109)	-0.816*** (0.216)
Constant	0.127*** (0.029)	0.144*** (0.032)
Number of observations	18	18
Adjusted R-squared	0.76	0.63

***significant at 1% level.

Table VII—Continued

Panel B. Dependent Variable: Capital Market Structure Based on Aggregate Data						
pendent Variables	Dependent Variables					
	(1)	(2)	(3)	(4)	(5)	(6)
	Initial Public Offerings in 1996/Population	Number of Listed Domestic Firms/Population	Equity Market Capitalization/GNP	Instrumental Variables	Instrumental Variables	Instrumental Variables
Country control premia	-2.753** (1.263)	-12.66** (5.609)	-24.03 (26.74)	-199.3* (94.21)	-1.265*** (0.413)	-3.747** (1.307)
per capita income	0.451** (0.195)	-0.082 (0.419)	8.643*** (3.079)	-0.327 (5.711)	-0.041 (0.065)	-0.168 (0.103)
stant	-2.315 (1.543)	3.472 (4.064)	-45.60** (24.69)	51.57 (57.79)	0.943 (0.614)	2.319** (0.988)
Number of obs.	34	37	37	37	37	37
Adjusted R-squared	0.203	0.168	0.168	0.168	0.213	0.213

ificant at 10% level; **significant at 5%; ***significant at 1% level.

5.7 Table VIII: institutional variables

Read:

- Table VIII lists the legal and extra-legal institutional measures used in Tables IX–XI.
- It also reports the correlation matrix, showing that many institutional measures move together.
- This correlation is why multivariate institutional interpretation must be cautious.

Economic message: The table clarifies that institutional analysis is hard: law, media, tax compliance, and economic development are correlated across countries.

5.8 Tables IX and X: institutional determinants of private benefits

Read:

- Table IX tests institutions one at a time. Better accounting standards, stronger antidirector rights, stronger rule of law, more competition, greater newspaper diffusion, and higher tax compliance are associated with lower private benefits.

Table VIII
Institutional Variables
This table presents summary statistics of the institutional variables used in Tables IX to XI. Variable definitions and sources can be found in Table I.

Panel A											
Legal Institutions						Extra Legal Institutions					
Country	Legal Origin	Accounting Standards (8-90)	Antidirector Rights (0-6)	Rule of Law at Country Level (1-10)	Competition Laws	Newspaper Circulation/Pop	Serious Crime/100,000 Population	Labor Protection Measure	Tax Compliance (1-6)	Acceptability of Cheating on Taxes (1-10)	Primary Religion
Argentina	French	45	4	5.35	4.85	1.2	8.2		2.41	1.97	Catholic
Australia	English	75	4	10	5.52	3.0	57.5	0.9	4.58	2.16	Protestant
Austria	German	54	2	10	5.29	2.9	57.5	2.2	3.6	1.97	Catholic
Brazil	French	54	3	6.32	4.9	0.4			2.14	3.11	Catholic
Canada	English	74	5	10	5.37	1.6	122.3	0.6	3.77	2.34	Catholic
Chile	French	52	5	7.02	5.4	1.0	53.7		4.2	1.98	Catholic
Colombia	French	50	3	2.08	4.71	0.5	129.1		2.11	1.92	Catholic
Czech Republic	Soviet	2	2	8.3	4.89	2.5	177.2		2.54		Atheist
Denmark	Scand.	62	2	10	5.16	3.1	46.1		3.7	2.48	Protestant
Egypt	French	34	2	4.17	4.6	0.4			3.97		Muslim
Finland	Scand.	77	3	10	5.26	4.6	47.1	2.0	3.53	2.63	Protestant
France	French	69	3	8.98	5.83	2.2	126.8	3.0	3.86	3.26	Catholic
Germany	German	62	1	9.23	5.91	3.1	74.1	2.5	3.41	2.94	Protestant
Hong Kong	English	69	5	8.22	5.85	8.0	190.8		4.56		Local beliefs
Indonesia	French	2	2	3.98	4.42	0.2	4.6		2.53		Muslim
Israel	English	64	3	4.82	5.11	2.9	68.9		3.69		Judaism
Italy	French	62	1	8.33	5.14	1.0	61.7	3.3	1.77	2.28	Catholic
Japan	German	65	4	8.98	5.64	5.8	2.7	2.4	4.41	1.49	Buddhist
Malaysia	English	76	4	6.78	4.84	1.6	34.5		4.34		Muslim
Mexico	French	60	1	5.15	4.93	1.0	100.8		2.46	3.35	Catholic
Netherlands	French	64	2	10	5.53	3.1	122.8	2.1	3.4	3.08	Catholic

- Table X combines institutional measures. Legal institutions are significant when entered together.
- Extra-legal institutions also matter. Tax compliance and newspaper circulation remain significant when the main extra-legal institutions are combined.
- When legal and extra-legal variables are entered together, tax compliance and newspaper diffusion are the most robust variables.

Economic message: The strongest message is not that formal law is irrelevant, but that formal law is not the whole story. Media pressure and tax enforcement are powerful governance mechanisms.

Table IX
Institutional Determinants of Private Benefits of Control—Univariate Analysis
e dependent variable is the block premia as a percent of firm equity. The explanatory variables include all of variables introduced in Table V ept the country fixed effects, but including a dummy to indicate the presence of a mandatory tender offer law. In place of the country fixed ets, we introduce one at a time several institutional variables: (1) accounting standards index; (2) antidirector rights index; (3) rule of law index; tax compliance index; (5) diffusion of the press as measured by the newspaper circulation/population; (6) an index of the extent of competition rs; (7) incidence of violent crimes; (8) extent of legal protections for labor; (9) a dummy variable if primary religion is Catholicism. More complete criptions of variables are provided in Table I. Standard errors, which are reported in parentheses, are robust and clustered by country.

Independent Variables	Dependent Variable: Block Premium							
	Legal Institutions			Extra Legal Institutions				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Accounting standards	-0.007*** (0.0002)							
Antidirector rights		-0.036** (0.015)						
Rule of law			-0.029*** (0.010)					
Competition laws				-0.147*** (0.046)				
Newspaper circulation/pop					-0.036** (0.014)			
Incident crime incidence						0.000 (0.000)		
Labor protection							0.038 (0.023)	
Religion is primary religion								0.118* (0.066)
Tax compliance								-0.085*** (0.025)

New Zealand	English	70	4	10	5.4	2.2	52.3	1.0	5		Protestant
Norway	Scand.	74	4	10	4.96	5.9	28.9	2.6	3.96		Protestant
Peru	French	38	3	2.5	5.05	0.8			2.66		Catholic
Philippines	French	65	3	2.73	4.61	0.8	90.9		1.83		Catholic
Poland	Soviet	3	3	6.7	5.06	1.1	99.6		2.19		Catholic
Portugal	French	36	3	8.68	4.81	0.8	12.4	3.7	2.18	3.82	Catholic
Singapore	English	78	4	8.37	5.21	3.2	45.2		5.05		Buddhist
South Africa	English	70	5	4.42	4.89	0.34	323.2		2.4	2.44	Protestant
South Korea	German	62	2	5.35	4.9	3.9	8.5		3.29	1.64	Protestant
Spain	French	64	4	7.8	5.07	1.0	109.4	3.1	1.93	2.57	Catholic
Sweden	Scand.	83	3	10	5.08	4.5	80.1	2.2	3.39	2.30	Protestant
Switzerland	German	68	2	10	5.22	3.3	38.3	1.0	4.49	2.59	Catholic
Taiwan	German	65	3	8.52	5.56	2.7	34		3.25	1.98	Buddhist
Thailand	English	64	2	6.25	4.77	0.6	70.4		3.41		Buddhist
Turkey	French	51	2	5.18	5.14	1.1	69.2		2.07	1.34	Muslim
United States	English	78	5	8.57	5.74	3.3	96.4	0.5	4.67	2.65	Protestant
Venezuela	French	40	1	6.37	4.24	2.06	86.5		1.56		Catholic

Panel B: Correlation Matrix											
Accounting standards (8-90)	Antidirector Rights (0-6)	Rule of Law at Country Level (1-10)	Competition Laws	Newspaper Circulation/Pop	Serious Crime/100,000 Population	Labor Protection Measure	Tax Compliance (1-6)	Acceptability of Cheating on Taxes (1-10)			
1.00											
Antidirector rights	0.32	1.00									
Rule of law	0.53	0.96	1.00								
Competition laws	0.49	0.36	0.59	1.00							
Newspaper circulation	0.54	-0.01	0.62	0.35	1.00						
Serious crime	0.19	0.33	-0.09	0.26	-0.13	1.00					
Labor protection	-0.57	-0.55	-0.54	-0.46	-0.10	-0.35	1.00				
Tax compliance	0.58	0.40	0.65	0.74	0.65	-0.08	-0.78	1.00			
Cheating	0.08	-0.11	0.17	-0.03	-0.11	0.07	0.46	-0.10	1.00		

Independent Variables	Dependent Variable: Block Premium							
	Legal Institutions			Extra Legal Institutions				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Antidirector rights	y	y	y	y	y	y	y	y
Ownership variables	y	y	y	y	y	y	y	y
Financial distress	y	y	y	y	y	y	y	y
Foreign acquirer	y	y	y	y	y	y	y	y
Unlisted in the U.S.	y	y	y	y	y	y	y	y
Buyer identity	y	y	y	y	y	y	y	y
Seller identity	y	y	y	y	y	y	y	y
Industry group	y	y	y	y	y	y	y	y
Acquaintance of assets	y	y	y	y	y	y	y	y
Interaction of relative strength of antidirector rights (home-target nation) and foreign acquirer dummy	y	y	y	y	y	y	y	y
Interaction of relative strength of antidirector rights (US-target nation) and cross-listed in the US dummy	y	y	y	y	y	y	y	y
Presence of takeover law	y	y	y	y	y	y	y	y
Constant	y	y	y	y	y	y	y	y
Number of observations	381	393	393	393	393	377	233	393
Countries included	36	39	39	39	39	36	18	39
Adjusted R-squared	0.213	0.174	0.203	0.203	0.200	0.175	0.308	0.184

guificant at 5% level; ***significant at 1% level.

Table X
Institutional Determinants of Private Benefits
of Control—Multivariate Analysis

The dependent variable is the block premia as a percent of firm equity. The explanatory variables include all of the variables introduced in Table V except the country fixed effects, but including a dummy to indicate the presence of a mandatory tender offer law. As institutional variables in specification (1), we use antidirector rights index and rule of law index. In specification (2), a dummy variable if primary religion is Catholicism, a tax compliance index, the diffusion of the press as measured by the newspaper circulation/population and the index of the extent of competition laws. The independent variables in specification (3) are antidirector rights index, rule of law index, tax compliance index, diffusion of the press as measured by the newspaper circulation/population. More complete descriptions of variables are provided in Table I. Standard errors, which are reported in parentheses, are robust and clustered by country.

Independent Variables	Dependent Variable: Block Premium		
	(1)	(2)	(3)
Antidirector rights	−0.026** (0.012)		−0.003 (0.019)
Rule of law	−0.026*** (0.010)		−0.006 (0.011)
Catholic		0.019 (0.056)	
Tax compliance		−0.064*** (0.021)	−0.061* (0.033)
Newspaper circulation/ population		−0.020** (0.009)	−0.018* (0.010)
Competition laws		−0.042 (0.036)	
Variables Controlled for:			
Buyer bargaining power	y	y	y
Ownership variables	y	y	y
Financial distress	y	y	y
Buyer characteristics	y	y	y
Seller characteristics	y	y	y
Foreign acquirer	y	y	y
Crosslisted in the U.S.	y	y	y
Industry type	y	y	y
Tangibility of assets	y	y	y
Interaction of relative strength of antidirector rights (home—target nation) and foreign acquirer dummy	y	y	y
Interaction of relative strength of antidirector rights (US—target nation) and cross listed in the US dummy	y	y	y
Presence of takeover law	y	y	y
Constant	y	y	y
Number of observations	393	393	393
Countries included	39	39	39
R-squared	0.213	0.245	0.243

*significant at 10% level. **significant at 5%. ***significant at 1% level.

5.9 Table XI: legal origin

Read:

- Panel A shows large differences in block premia by legal origin.
- Former Soviet-origin countries and French-origin countries have higher average private benefits than Scandinavian, English, or German-origin countries.
- Panel B shows that after controlling for tax compliance and newspaper circulation, legal-origin effects weaken.

Economic message: Legal origin captures real cross-country governance differences, but it also bundles many other institutions. Extra-legal enforcement remains important after legal-origin controls.

Table XI
Private Benefits of Control and Legal Origin

Panel A presents descriptive statistics of block premia by legal origin, first presenting averages at the country level and second presenting averages based on the full set of 393 transactions. Panel B provides OLS regressions of block premia on legal origin and our other explanatory variables. The independent variables examined are those included in Table IX with (1) legal origin; (2) tax compliance and newspaper circulation; (3) English origin to capture the difference between common and civil law origin, tax compliance and newspaper circulation; (4) all legal origin dummies, tax compliance, and newspaper circulation. More complete descriptions of variables are provided in Table I. Robust standard errors clustered by country are in parentheses.

Panel A: Block Premium by Legal Origin						
Law Origin	Groups of Legal Origin			All Transactions		
	Mean	Standard Deviation	Number of Countries	Mean	Standard Deviation	Number of Observations
Scandinavian origin	0.048	0.033	4	0.041	0.075	42
English origin	0.055	0.080	11	0.045	0.123	196
German origin	0.109	0.152	6	0.051	0.138	57
French origin	0.212	0.171	16	0.251	0.439	88
Soviet origin	0.356	0.314	2	0.400	0.639	10

Figure 3: Table XI, Panel A

Table XI—Continued

Panel B: Investigating Explanatory Power of Legal Origin				
Independent Variables	Dependent Variable: Block Premium			
	(1)	(2)	(3)	(4)
English origin	−0.155** (0.067)		0.043 (0.044)	−0.024 (0.062)
Soviet origin	0.128 (0.201)			0.141 (0.207)
German origin	−0.228** (0.097)			(−0.121) (0.084)
Scandinavian origin	−0.189*** (0.058)			−0.098* (0.053)
Tax compliance		−0.070*** (0.021)	−0.087*** (0.027)	−0.066*** (0.022)
Newspaper circulation		−0.021** (0.010)	−0.015 (0.011)	−0.003 (0.008)
Variables controlled for:				
Buyer bargaining power	y	y	y	y
Ownership variables	y	y	y	y
Financial distress	y	y	y	y
Buyer identity	y	y	y	y
Seller identity	y	y	y	y
Industry group	y	y	y	y
Tangibility of assets	y	y	y	y
Foreign acquirer	y	y	y	y
Crosslisted in the U.S.				
Interaction of relative strength of antidirector rights (home—target nation) and foreign acquirer dummy	y	y	y	y
Interaction of relative strength of antidirector rights (US—target nation) and crosslisted in the US dummy	y	y	y	y
Constant	y	y	y	y
Number of observations	393	393	393	393
Number of countries (clusters)	39	39	39	39
R-squared	0.243	0.242	0.244	0.260

*significant at 10% level; **significant at 5%; ***significant at 1% level.

Figure 4: Table XI, Panel B

6 Short summary

- The paper estimates private benefits of control using private sales of controlling blocks.
- The measure is the control-block price premium relative to the post-announcement market price, multiplied by the block's cash-flow rights.
- The sample covers 393 control-block transactions across 39 countries during 1990–2000.
- Average private benefits are about 14% of firm equity value.
- Country dispersion is large: Japan is around −4%, while Brazil is around 65%.
- The paper adjusts for bargaining power, deal features, buyer and seller identity, U.S. cross-listing, financial distress, industry, and asset tangibility.
- Majority blocks have higher premia, and financially distressed sellers receive lower premia.
- Acquirer return tests suggest the premia are not simply overpayment.
- Buyers from countries with stronger investor protection pay less for control, supporting the private-benefit interpretation.
- Control-block estimates broadly agree with voting-premia estimates.
- Larger private benefits are associated with less developed stock markets.
- Larger private benefits are associated with more concentrated ownership.
- Larger private benefits are associated with more private negotiated privatizations.
- Legal institutions such as accounting standards, antidirector rights, and rule of law are associated with lower private benefits.
- Extra-legal institutions such as newspaper diffusion, tax compliance, and competition also matter.

- In multivariate tests, tax compliance and newspaper circulation are the most robust institutional determinants.
- The paper suggests that the government can act as an indirect monitor through tax enforcement.
- It also suggests that media pressure can discipline controllers through reputational costs.
- The paper does not identify the exact source of private benefits: psychic value, perquisites, and tunneling may all contribute.
- The central takeaway is that private benefits of control are measurable, large, and central to financial development.

7 Conclusion

7.1 Core conclusion

Dyck and Zingales show that private benefits of control vary dramatically across countries and that this variation is economically important. Where control is valuable, ownership remains more concentrated and public equity markets are less developed.

7.2 Economic intuition

The intuition is that minority investors anticipate expropriation. If controlling shareholders can extract large private benefits, outside investors pay less for minority shares. Entrepreneurs then prefer to keep control, governments prefer private control sales, and stock markets remain smaller. Institutions that raise the cost of diversion, such as investor-protection laws, tax enforcement, and media scrutiny, reduce the value of control.

7.3 Takeaway

The paper turns private benefits of control from an abstract corporate-governance concept into a measurable cross-country variable. Its most important message is that protecting outside investors is not only a legal problem. Courts matter, but so do taxes, media, reputation, and enforcement outside the courtroom.